

ENTREPRENEURSHIP

Complete Exam Study Guide

Lectures 6–14 • Key Concepts, Formulas & Frameworks

Lecture	Chapter	Topic	Priority
Lecture 7	Ch. 4	Feasibility Analysis & Business Model	Most Important (3-4 Qs)
Lecture 12	Ch. 12	Financial Plan & Ratio Analysis	Crucial
Lecture 8	Ch. 5	Business Plan & Strategic Planning	Important
Lecture 13	Ch. 13	Managing Cash Flow	Important
Lecture 9	Ch. 6	Forms of Business Ownership	Important
Lecture 10	Ch. 9	Bootstrap Marketing Plan	Conceptual
Lecture 11	Ch. 11	Pricing & Credit Strategies	Specific
Lecture 14	Ch. 14	Location & Layout	Specific (Formulas)
Lecture 6	Ch. 2	Ethics & Social Responsibility	General

Lecture 7 (Ch. 4): Feasibility Analysis & Business Model

MOST IMPORTANT — Expect 3-4 questions on this lecture.

1. New Business Planning Process

The sequential journey from idea to launch:

- Business Ideas → Idea Assessment → Feasibility Analysis → Business Model → Business Plan → Strategic Plan → Launch

2. Idea Assessment — The Idea Sketch Pad

5 Key Questions to evaluate any idea:

- Customers: Who is the user/beneficiary? Who is the decision maker?
- Offering: Is it a commodity, good, or service?
- Value Proposition: Why does it matter to the user AND the buyer?
- Core Competencies: Do you have unique technology or skills?
- People: What relevant experience do the founders bring?

3. Four Elements of Feasibility Analysis

Element	Key Question
Industry & Market Feasibility	Is the industry attractive?
Product / Service Feasibility	Do customers want it?
Financial Feasibility	Is there enough money and potential profit?
Entrepreneur / Team Feasibility	Is this idea right for the founder?

4. Industry & Market Feasibility

A) Six Macro Environment Forces (STDEPC)

- Sociocultural — Social trends and values
- Technological — New inventions and tools
- Demographic — Population changes (age, income, etc.)
- Economic — Inflation, interest rates, GDP
- Political & Legal — Laws and regulations
- Global — International trends and competition

B) Porter's Five Forces Model

Force	Industry MORE Attractive If...
Rivalry Among Competitors	Very large OR very small number of rivals; fast industry growth; differentiated products
Bargaining Power of Suppliers	Many suppliers exist; substitutes available; low switching costs

Force	Industry MORE Attractive If...
Bargaining Power of Buyers	Many buyers; customers want differentiated products; high switching costs
Threat of New Entrants	High capital requirements; brand loyalty; government restrictions
Threat of Substitutes	Quality substitutes NOT available; high substitute prices; high switching costs

Five Forces Weighted Score Formula

Weighted Score	Importance (1-5) × Threat Level (1-5)
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Total Score	Sum of all 5 Weighted Scores 5 = Very Attractive, 125 = Very Unattractive
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5. Product / Service Feasibility

- Internal: Can we provide this at a profit?
- External: Are customers willing to purchase?

Research Methods

- Primary Research (firsthand): Surveys, focus groups, prototypes, in-home trials, Windshield Research
- Secondary Research (existing data): Trade associations, census data, industry databases

6. Financial Feasibility

- Capital Requirements — Start-up money needed
- Estimated Earnings — Forecasted profit
- Time Out of Cash — Survival time before break-even
- Return on Investment (ROI) — Expected investor profit

7. Business Model Canvas (9 Elements)

Element	Question It Answers
Value Proposition	What do you offer?
Customer Segments	Who is the target?
Customer Relationships	What do they expect?
Channels	How do you deliver?
Key Activities	What tasks must be done?
Key Resources	What do you need?
Key Partners	Who helps you?
Revenue Streams	Where does money come from?
Cost Structure	What does it cost?

8. Four Phases of Business Modeling

- Phase 1: Develop the Canvas
- Phase 2: Test the Value Proposition with customers
- Phase 3: Test the Product with a Minimal Viable Product (MVP) or prototype
- Phase 4: Pivot — adjust based on feedback until ready to expand

Lecture 12 (Ch. 12): Creating a Successful Financial Plan

CRUCIAL — Expect ratio formulas and financial statement questions.

1. Three Basic Financial Statements

Statement	Nickname	Formula / Notes
Balance Sheet	Snapshot	Assets = Liabilities + Owner's Equity Point in time
Income Statement	Moving Picture	Net Income = Sales Revenue – Expenses Period of time
Statement of Cash Flows	—	Sources and uses of cash Changes in working capital

2. Ratio Analysis — The Barometers of Health

A) Liquidity Ratios (Ability to pay short-term debt)

Current Ratio	$\text{Current Assets} \div \text{Current Liabilities}$
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Quick Ratio (Acid Test)	$(\text{Current Assets} - \text{Inventory}) \div \text{Current Liabilities}$
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B) Leverage Ratios (Depth of debt)

Debt Ratio	$\text{Total Liabilities} \div \text{Total Assets}$
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Times-Interest-Earned	$\text{EBIT} \div \text{Total Interest Expense}$
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C) Operating Ratios (Resource Effectiveness)

Avg. Inventory Turnover	$\text{Cost of Goods Sold} \div \text{Average Inventory}$
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Also: Average Collection Period, Average Payable Period, Net Sales to Total Assets Ratio

D) Profitability Ratios

Net Profit on Sales	$\text{Net Income} \div \text{Net Sales}$
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ROA (Return on Assets)	$\text{Net Income} \div \text{Total Assets}$
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ROI (Return on Equity)	$\text{Net Income} \div \text{Owner's Equity (Net Worth)}$
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3. Break-Even Analysis

The level where the business neither profits nor loses money.

Break-Even Point (\$)

Total Fixed Costs ÷ **Contribution Margin Ratio**

Contribution Margin

Sales Revenue - Variable Costs

4 Steps to Calculate Break-Even

- Determine all expected expenses
- Categorize into Fixed (constant) and Variable (change with sales)
- Calculate ratio of variable expenses to net sales
- Compute break-even point using formulas above

4. Critical Numbers

Critical Numbers: Key financial/operational metrics specific to an industry. E.g., 'food costs as % of sales' for restaurants; 'load factor' for airlines; 'sales per labor hour' for supermarkets.

Lecture 8 (Ch. 5): Business Plan & Strategic Planning

1. The Business Plan

- A written summary of an entrepreneur's proposed venture: operational/financial details, marketing strategy, and manager skills.

Three Tests a Plan Must Pass

- Reality Test: Proves a market exists and the product can be built at estimated cost
- Competitive Test: Evaluates position against rivals and management's ability to gain an edge
- Value Test: Proves the venture offers an attractive ROI or high probability of repayment

2. Key Sections of a Business Plan (11 Sections)

- Title Page & Table of Contents
- Executive Summary — the “elevator pitch” (Context, Benefit, Target, Differentiation, Clincher)
- Mission & Vision Statement
- Product/Service Description — focus on Benefits over Features
- Business & Industry Profile
- Competitor Analysis
- Market Entry Strategy
- Marketing Strategy
- Entrepreneurs' & Managers' Resumes
- Plan of Operation
- Pro Forma Financial Statements & Loan/Investment Proposal

3. The Pitch — 10/20/30 Rule

- 10 slides maximum
- 20 minutes maximum
- 30-point font minimum

5 C's of Credit (What Lenders Look For)

- Capital • Capacity • Collateral • Character • Conditions

4. Intellectual Capital (KEY MISSED TOPIC)

The biggest shift in modern entrepreneurship is from financial capital to INTELLECTUAL capital.

Component	Definition
Human Capital	Skills and abilities of employees
Structural Capital	Patented tools, software, and processes
Customer Capital	Relationships and loyalty of the customer base

5. Strategic Management: 9-Step Process

- Develop Vision & Mission
- Assess Strengths & Weaknesses (internal)
- Scan for Opportunities & Threats (external)
- Identify Key Success Factors (KSFs)
- Analyze Competition — Competitive Profile Matrix
- Create Goals & Objectives — use BHAGs (Big Hairy Audacious Goals)
- Formulate Strategies (Porter's 3 Generic Strategies)
- Translate into Action Plans
- Establish Controls (Dashboards)

Competitive Profile Matrix

Weighted Score = Weight (Importance) × Rating (Performance)

6. Porter's Three Generic Strategies

Strategy	Goal	Works Best When...
Cost Leadership	Be the lowest-cost producer	Buyers are price-sensitive; products are commodities; economies of scale exist
Differentiation	Be unique in ways customers value	You have a distinctive competence rivals cannot easily copy
Focus	Serve a specific niche better than anyone	A market segment has special needs, wants, or interests

7. BHAGs — Big Hairy Audacious Goals

- Pros: Drives innovation, motivates teams
- Cons: Can be demoralizing if perceived as impossible

Lecture 13 (Ch. 13): Managing Cash Flow

"Cash is King" — A business can be profitable and still fail from lack of cash.

1. Cash vs. Profits

- Profit = Total Revenue – Total Expenses (accounting figure)
- Cash = Money free and immediately available
- Valley of Death: Period where a company has started but isn't generating enough cash to cover costs

2. Cash Flow Cycle

Purchases → Inventory → Sales → Accounts Receivable → Cash

Cash Conversion Cycle

Days Inventory Outstanding + Days Sales Outstanding – Days Payable Outstanding

3. Creating a Cash Budget — 5 Steps

- Determine minimum cash balance (safety net)
- Forecast sales (3 versions: Pessimistic, Optimistic, Most Likely)
- Forecast cash receipts (record when actually received)
- Forecast cash disbursements (when bills are paid)
- Estimate end-of-month balance:

End-of-Month Balance

Beginning Cash + Cash Receipts – Cash Disbursements = Surplus or Shortage

4. The “Big Three” of Cash Management

Category	Goal	Key Strategy
Accounts Receivable	Collect cash FAST	Screen customers, send invoices promptly, act on overdue accounts immediately
Accounts Payable	Stretch payment times as LONG as possible	Negotiate best terms, verify all invoices before paying
Inventory	Monitor to avoid draining cash	Avoid overbuying; arrange late deliveries

5. Cash Discount Formula

Annual Cost of Foregoing Discount

$(\text{Discount} \div (\text{Invoice} - \text{Discount})) \times (365 \div \text{Days Beyond Discount Period})$

Example: 2/10, net 30 on \$1,000 → Rate = $(\$20 / \$980) \times (365 / 20) = 37.25\%$ annual interest!

6. Avoiding the Cash Crunch

- Barter: Exchange goods/services directly to save cash
- Gift Cards: Bring in immediate cash before product delivery (MISSED TOPIC)
- Zero-Based Budgeting: Re-evaluate every expense from zero (MISSED TOPIC)
- Trim Overhead: Lease vs. buy, used equipment, part-time/freelance staff
- Efficiency: Outsource, switch to digital communication
- Security: Build a cash cushion, invest surplus in money market accounts

Lecture 9 (Ch. 6): Forms of Business Ownership

1. Key Factors When Choosing a Structure

- Tax considerations
- Liability exposure (personal risk)
- Start-up and future capital requirements
- Control and managerial ability
- Business goals and succession plans
- Cost of formation

2. Comparison of Ownership Forms

Form	Liability	Taxation	Key Advantage	Key Disadvantage
Sole Proprietorship	Unlimited Personal	Pass-through	Simple; owner keeps all profit	Unlimited liability; limited capital
General Partnership	Unlimited (all GP)	Pass-through	Complementary skills; more capital	Law of Agency; personality conflicts
Limited Partnership	Limited (LP only)	Pass-through	Investors have limited liability	LP cannot manage day-to-day
LLP	Limited (all partners)	Pass-through	All partners protected	May not be available in all states
C Corporation	Limited	Double taxation	Easy to raise capital; perpetual life	Expensive; double taxation
S Corporation	Limited	Pass-through	No double tax; limited liability	Restrictions on shareholders
LLC	Limited	Pass-through	Flexible; best of both worlds	Varies by state

3. Key Partnership Concepts

- Partnership Agreement: ALWAYS get it in writing
- General Partners: Active in management; unlimited liability
- Limited Partners: Financial investors only; limited liability
- Silent Partners: Known publicly, not active
- Dormant Partners: Neither active nor publicly known

Law of Agency: One partner's actions can legally bind ALL other partners.

4. Maintaining the Corporate Veil

To protect limited liability, treat the corporation as a SEPARATE entity:

- Use "Inc." or "Corporation" in the name
- File all reports and pay state fees on time

- Hold annual meetings and keep minutes
- Separate Assets: Never mix personal and corporate funds
- Sign Correctly: Officers sign in the corporation's name only

Lecture 10 (Ch. 9): Bootstrap Marketing Plan

1. Bootstrap Marketing

A strategy using unconventional, low-cost, creative techniques to get higher ROI than large rivals.

Three Objectives

- Pinpoint Target Markets
- Determine Customer Needs (market research)
- Build a Competitive Edge (communicate unique value proposition)

2. The USP Attribute Pyramid

USP = Unique Selling Proposition: the key benefit that answers 'What's in it for me?'

Level	Attribute Type	Definition
1 (Base)	Threshold Attributes	Basic benefits customers expect from ANY brand
2 (Middle)	Performance Attributes	Benefits your brand offers SUPERIOR to rivals
3 (Top)	Excitement Attributes	Unique benefits that DELIGHT customers and truly differentiate

3. Market Research

- Primary: Data you collect yourself (surveys, social media, focus groups)
- Secondary: Existing data sources (trade associations, census)
- Data Mining: Finding hidden patterns in large datasets (MISSED TOPIC)

Steps

- Define the objective → Collect data → Analyze → Draw conclusions → Act

4. Building a Competitive Edge

- Find a niche and fill it; strive to be unique
- Use publicity power; entertain while selling
- Build community; connect emotionally with customers
- 20/80 Rule: 20% of customers = 80% of sales — invest in keeping them

5. Social Marketing Stats

- 96% of entrepreneurs use social media
- Top platforms: Facebook (94%), Twitter (83%), LinkedIn (71%), YouTube (57%)
- Benefits: Exposure (89%), Traffic (75%), Loyal fans (68%)

6. TQM & Customer Service

- TQM: Treat quality as a strategic objective embedded in the culture

- 79% of unhappy customers tell others; for every 1 complaint, 17 go unspoken
- TCM (Time Compression Management): Speed products to market; shorten response times

Lecture 11 (Ch. 11): Pricing & Credit Strategies

1. Impact of Pricing on Profitability

Improvement Type	Profit Improvement
1% improvement in Price	12.3% increase in profitability
1% improvement in Variable Costs	6.7% increase in profitability
1% improvement in Fixed Costs	2.6% increase in profitability

2. Price Floor vs. Price Ceiling

- Price Floor: Minimum price to cover direct variable costs (avoid a loss)
- Price Ceiling: Maximum based on perceived value / what the market will bear
- Final Price: Falls within the Acceptable Price Range

3. Fighter Brand

Fighter Brand: A lower-priced brand launched specifically to combat low-cost rivals while protecting the premium brand. Example: Intel launched Celeron to fight AMD without hurting Pentium's image.

4. New Product Pricing Strategies

Strategy	Approach	Best Used When...
Penetration Pricing	Set LOW price to quickly capture high volume	Market is price-sensitive; economies of scale achievable
Price Skimming	Set HIGH price to skim top of market	Product is unique/desirable with no close substitutes
Life Cycle Pricing	Adjust price as product matures	Long-term product with changing competition over time

5. Pricing Tactics for Established Goods

- Odd Pricing: \$9.99 instead of \$10.00
- Price Lining: Group products into price categories
- Freemium Pricing: Basic version free; charge for premium features
- Subscription Pricing: Recurring fee for access
- Dynamic Pricing: Real-time price changes based on demand
- Leader Pricing: Markdown popular item to attract store traffic
- Bundling: Group multiple products at one price

Lecture 14 (Ch. 14): Location & Layout

1. Four-Stage Location Decision

- Region → State → City → Specific Site

2. Location Formulas

Formula 1: Index of Retail Saturation (IRS)

Measures a market's potential for new business by comparing demand to available retail space.

IRS

$$IRS = (C \times RE) \div RF$$

- C = Number of customers in the trading area
- RE = Average retail expenditure per person for the product
- RF = Total square feet of selling space for the product in the area
- HIGH IRS = market is understored (good opportunity) | LOW IRS = saturated

Formula 2: Reilly's Law of Retail Gravitation

Finds the breaking point between two cities where customers are equally likely to shop at either.

Break Point (BP)

$$BP = d \div (1 + \sqrt{P_b \div P_a})$$

- BP = Distance from city A to the break point
- d = Distance in miles between cities A and B
- P_b = Population of city B
- P_a = Population of city A

3. Types of Shopping Centers

Type	Size / Description	Anchor Store
Strip Shopping Center	Smallest; bulk of U.S. centers	None
Neighborhood Center	5–20 stores; up to 40,000 people	Supermarket or Drugstore
Community Center	15–40 stores; 40,000–150,000 people	Department or Variety Store
Power Center	High draw; anchors take 80% of space	Large "Big Box" retailers
Theme/Festival Center	Unifying theme; entertainment/tourists	None
Outlet Center	Manufacturer stores at discounts	None
Lifestyle Center	Open-air; near affluent neighborhoods	None
Regional Mall	40–80 stores; draws 5–15 miles	Major department stores
Super-Regional Mall	Largest; draws 25+ miles	Multiple major stores

4. Mall Site Evaluation Metrics

When choosing a mall location, always check: (1) Vacancy Rate and (2) Average Sales per Square Foot of current tenants.

5. Clustering

The tendency of similar businesses to locate near one another to increase customer traffic (e.g., auto dealerships, restaurants).

Lecture 6 (Ch. 2): Ethics & Social Responsibility

1. Three Levels of Ethical Standards

- The Law — absolute minimum level of behavior required
- Policies & Procedures — organizational guidelines
- Morality — highest level; doing what is right regardless of law

2. Three Approaches to Business Ethics

Feature	Immoral Management	Amoral Management	Moral Management
Ethical Norms	Actively opposes what is moral	Neither moral nor immoral	Conforms to professional ethical standards
Motives	Selfish; company gains only	Well-intentioned but ignores others	Success within ethical bounds
Goals	Profitability at any price	Profitability only	Profit within legal & ethical limits
Orientation to Law	Law is a barrier to overcome	Law is the guide: 'What can we do?'	Obeys letter and spirit of the law
Strategy	Exploit; cut corners	Free rein; responds only if caught	Live by sound standards; lead ethically

3. Causes of Ethical Lapses

- Pressure to meet targets — 64% (the #1 cause)
- Code of conduct not taken seriously — 60%
- Fear of losing a job — 59%
- Other causes: moral blindness, competitive pressures

4. Ethical Tests

- Golden Rule: Treat others as you want to be treated
- Television/Family Test: Would you be comfortable if your actions were public?
- Utilitarian Principle: Greatest good for the greatest number
- Kant's Categorical Imperative: Act in a way you'd want to become a universal law (MISSED TOPIC)
- Professional Ethic: Take only actions a disinterested panel of peers would find proper (MISSED TOPIC)

5. Triple Bottom Line (3BL)

Triple Bottom Line	Profit + People + Planet
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Profitability • Commitment to Ethics/Social Responsibility • Environmental Impact

6. Maintaining Ethical Standards

- Company Credo: Statement of values and ethical responsibilities to stakeholders
- Code of Ethics: Written behavioral standards for employees
- Practical steps: Ethics training, reward ethical conduct, separate related job duties (prevent fraud), periodic audits

7. Key Stakeholders

- Internal: Employees, management, company founders
- External: Customers, suppliers, creditors, unions, government, community

Quick Reference: All Key Formulas

IRS (Retail Saturation)	$IRS = (C \times RE) \div RF$
Reilly's Break Point	$BP = d \div (1 + \sqrt{Pb \div Pa})$
Break-Even Point (\$)	$Total\ Fixed\ Costs \div Contribution\ Margin\ Ratio$
Cash Conversion Cycle	$DIO + DSO - DPO$
Cash Discount Cost (Annual)	$(Discount \div (Invoice - Discount)) \times (365 \div Extra\ Days)$
Current Ratio	$Current\ Assets \div Current\ Liabilities$
Quick Ratio (Acid Test)	$(Current\ Assets - Inventory) \div Current\ Liabilities$
Debt Ratio	$Total\ Liabilities \div Total\ Assets$
Times-Interest-Earned	$EBIT \div Total\ Interest\ Expense$
Inventory Turnover	$COGS \div Average\ Inventory$
Net Profit on Sales	$Net\ Income \div Net\ Sales$
ROA	$Net\ Income \div Total\ Assets$
ROI (Return on Equity)	$Net\ Income \div Owner's\ Equity$
Porter's Five Forces Score	$Importance\ (1-5) \times Threat\ Level\ (1-5) \quad \quad Total: 5-125$
End-of-Month Cash	$Beginning\ Cash + Receipts - Disbursements$